Sycamore Square — Feasibility Study: Operator View by Business

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Summary

Run as businesses, the two halls and the kids' playground can pay for themselves; Hall A alone and the fuel station pay back slowly. In the average case the two halls make about $473k a year after their share of the building's costs, and earn back their $3.54M fit-out in about 7 years. The playground operator makes about $200k a year after rent and earns back its $1.2M in about 5.8 years. Hall A alone makes about $60k a year, and a fuel company would earn only about $4 a year for every $100 it spends to build.

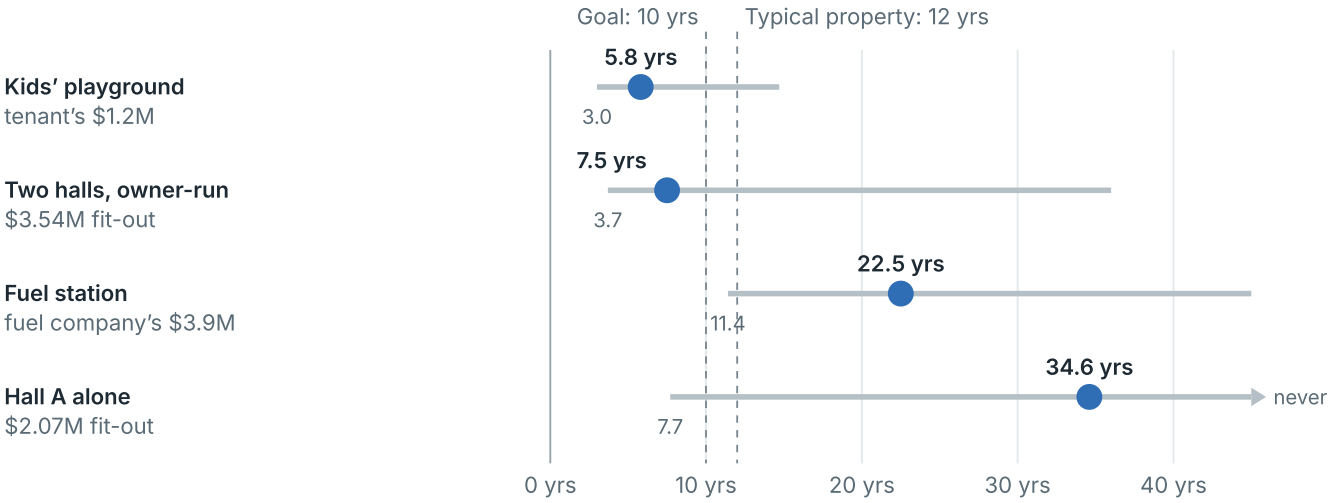
Business	Money to start it	Sales a year	Profit a year, average	Profit a year, worst / best
Two halls, run by the owners	$3.54M fit-out	$2.45M	$473k after building costs	$111k / $837k
Hall A alone (hybrid, first phase)	$2.07M fit-out	$1.10M	$60k after building costs	−$105k / $238k
Kids' indoor playground, run by a tenant	$1.2M, paid by the operator	$1.13M	$200k after rent	$89k / $351k
Fuel station, built by a fuel company	$3.9M, paid by the fuel company	$1.79M store sales plus fuel	$172k after ground rent	$62k / $308k
Typical 1,500 SF shop tenant	Its own fit-out	Needs about $249k	Depends on the shop	

Profit here is before any loan payments. "Building costs" means each business's share of the building's property tax, insurance and upkeep. Hall fit-outs are at Memphis prices, with the ownership group hiring each trade directly; the movable walls and the column removal are counted with the building work. The building itself, buying it and the base building work are covered in the Four Development Options and Landlord View docs.

How fast each business earns back its own money

The playground and the two halls earn back their money fastest

Years for each business to earn back its own start-up money. Dot = average case; line runs from best to worst case.



Sycamore Square model v2.5, each business on its own, worst / average / best · 18 Oct 2026

In the worst case earning back takes about 36 years for the two halls, about 15 years for the playground and about 68 years for a fuel station; Hall A alone never earns its money back. In the average case Hall A alone takes about 35 years and a fuel station about 23, past the 12 years of a typical investment property.

Two halls run by the owners

At 215 events a year, about two a week in each hall, the halls take in about $2.45M and keep about $473k after their share of the building's costs. They break even at about 134 events a year. Most of the money comes from catering and Saturday rentals; weekday events mostly cover staff.

What the halls book	Worst	Average	Best
Events a year, both halls, from year 3	185	215	240
Average room rental per event, all days	$5,050	$5,550	$6,100
Guests per event	280	295	305
Events catered in-house, and price per guest	45% at $29	50% at $31	55% at $32
Service charge on catering, half paid to event staff	19%	20%	21%
Kitchen fee when a client brings its own caterer	$665	$745	$830

Room rate card, one room (Memphis research)	Price
Saturday	$8,000
Friday and Sunday	$6,500
Monday–Thursday	$4,750

About 36% of events fall on Saturdays, 36% on Fridays and Sundays and 27% on weekdays. The average per event sits about 16% below the rate card in the average case (23% in the worst, 7% in the best) for off-peak

months and dates sold late.

Money in and out each year	Worst	Average	Best
Room rental	$934k	$1.19M	$1.46M
Catering	$680k	$985k	$1.29M
Service charge on catering	$131k	$197k	$266k
Kitchen fees from outside caterers	$67k	$79k	$91k
Sales	**$1.81M**	**$2.45M**	**$3.11M**
Food for catered events	$220k	$311k	$400k
Catering staff	$203k	$285k	$363k
Service charge paid to event staff	$66k	$98k	$133k
Event-day staff: setup, cleaning, security	$231k	$258k	$288k
Card fees, marketing, supplies, repairs	$187k	$245k	$301k
Year-round staff	$399k	$389k	$381k
Utilities	$136k	$131k	$126k
Insurance	$54k	$52k	$49k
Leased tables, chairs and kitchen equipment	$63k	$60k	$57k
Running costs	**$1.56M**	**$1.83M**	**$2.10M**
Profit before building costs	**$253k**	**$625k**	**$1.01M**
Halls' share of building tax, insurance and upkeep	$142k	$152k	$175k
Profit after building costs	**$111k**	**$473k**	**$837k**
Fit-out paid by the owners	$3.99M	$3.54M	$3.12M
Events a year needed to break even, after building costs	162	134	116

The fit-out covers hall finishes, lighting and sound at about $64 / $57 / $50 per SF, and the two kitchens (hoods, grease trap, cold storage) at about $274 / $244 / $215 per SF, at Memphis prices with the ownership group hiring each trade directly. Tables, chairs and kitchen equipment are leased. A movable acoustic wall in each main room, about $242k for both, is counted with the building work.

The market supports the product:

- **Size.** Each 11,000 SF room seats about 650–700 at tables with a dance floor, stage and buffet; together the halls seat about 1,300–1,450. A movable wall splits each room for two 150–350 guest events, so the venue can run up to four events at once, one very large wedding across both rooms, or one coordinated event. The rooms are column-free once the 4 existing columns are removed.
- **Saturday prices.** Comparable Memphis halls ask about $7,000–9,000 for a 300–400 guest Saturday. The Palace at Cordova asks $7,000 on Saturday, $6,500 on Friday, $6,000 on Sunday and $5,500 Monday–Thursday for 11 hours, and sells dates inside 30 days from $3,500. The Columns ballroom is $8,550 for 10 am to midnight. Premium venues ask more: the Cadre Building $12,200 and Memphis Botanic Garden $10,000. A full room for 650–700 guests rents for $11,000–15,000 at the few venues that size, such as The Kent.
- **Catering prices.** Memphis buffets run $18–35 per guest and plated meals $28–52, plus a 20–24% service charge: Esplanade Memphis charges 20% and The Peabody 23%. Marriott Memphis East lists $34–52 per person.

- **Profit levels.** Catering businesses sold in 2021–25 kept a median of about 23% of sales as profit (BizBuySell). The halls' average case keeps 25% before building costs, because room rental, which costs little to deliver, is about 49% of sales.
- **Who books.** Weddings of every background, plus quinceañeras, corporate, church, community and celebration events. Large Arab, South Asian, African and Hispanic weddings and celebrations are among the customer bases; about 1,100–1,200 girls in the metro's Hispanic community turn 15 each year (Census). The largest banquet halls listed in Jackson, Mississippi hold about 350 guests (Zola, Jackson MS), so very large events may also come from there.
- **Bookings.** About 215 events a year in the average case (220 most likely) is a year-3 number for a mixed business, not a wedding-only one. Mixed-use venues run 100–200+ events a year and wedding-only venues 30–60 (MMCG); one industry estimate puts the average venue at 217 (ProjectionHub). Two rooms have only 104 Saturdays a year, so at most about 40% of those events can fall on a Saturday. Couples book their venue 12–18 months ahead, so a fair estimate is about 110–140 events in year 1 and 170–200 in year 2. The average US wedding has about 117 guests (The Knot), which is why each room needs its movable wall: without it, bookings could stay near 120–160 a year.
- **Competition.** No hall outside the hotels seating 500 or more was found in northeast Memphis, Raleigh or Bartlett. The nearest are in Cordova and Germantown (FedEx Event Center, about 500 seated; Esplanade, 400) and downtown (The Kent, 600) (Memphis Magazine). The 900-seat ballroom at the former Memphis Vitality Hotel has closed.
- **Capacity cap.** Post capacities for seating at tables, about 1,470 for both halls together. Chairs-only ceremonies for 3,000 or more would push the building into a stricter earthquake-safety class (see the Landlord View risks).

Hall A alone (the hybrid's first phase)

One hall pays back slowly, because its year-round costs are almost as high as for two. At 97 events a year Hall A keeps about $60k after its share of the building's costs, and it needs about 86 events a year just to break even. That is why the hybrid adds Hall B once Hall A books well.

Each year	Worst	Average	Best
Events a year	83	97	110
Sales	**$815k**	**$1.10M**	**$1.43M**
Food, catering staff, service charge paid out and event-day staff	$324k	$428k	$543k
Card fees, marketing, supplies, repairs	$84k	$110k	$138k
Year-round staff, utilities, insurance and leased equipment	$427k	$414k	$402k
Profit before building costs	**−$20k**	**$151k**	**$343k**
Hall A's share of building tax, insurance and upkeep	$86k	$91k	$105k
Profit after building costs	**−$105k**	**$60k**	**$238k**
Fit-out paid by the owners (Hall A, Kitchen A, dining)	$2.33M	$2.07M	$1.82M
Events a year needed to break even, after building costs	105	86	75

Hall A covers 28,773 SF: the hall suite, Kitchen A, the reservable dining room and service space. Prices per event are the same as for two halls.

Kids' indoor playground, run by a tenant

An indoor playground (soft play, climbing and party rooms) is the steadiest business here. At $1.13M of sales the operator keeps about $200k a year after paying rent and its share of the building's costs, and it breaks even at about $691k of sales.

Each year	Worst	Average	Best
Sales	**$1.00M**	**$1.13M**	**$1.28M**
Staff	$300k	$329k	$360k
Supplies, marketing, repairs, card fees, insurance	$295k	$288k	$262k
Utilities	$50k	$45k	$40k
Management and other fixed costs	$130k	$120k	$110k
Profit before rent	**$226k**	**$348k**	**$507k**
Rent, at $4.20 / $4.85 / $5.70 per SF a year	$76k	$87k	$103k
Share of building tax, insurance and upkeep	$61k	$61k	$54k
Profit after rent	**$89k**	**$200k**	**$351k**
Money the operator invests	$1.3M	$1.2M	$1.0M
Sales needed to break even	$781k	$691k	$597k

The investment matches Kids Empire's franchise disclosure: $803,750–$1,765,000 to open 15,000+ SF (Franzy). The least certain number is how much of its sales the operator keeps before rent: 31% here, while entertainment centers with more staff often keep 15–22%. At 20%, profit after rent would fall to about $78k, and earning back the $1.2M would take about 15 years.

The opening is there, but not empty. Urban Air in Cordova charges $24.99 for unlimited play, with parties from $149.99 (parties). Larger active parks and a few smaller toddler open-play spots operate across the metro area, so this center must win on location and on private sessions for event guests' children.

Fuel station, built by a fuel company on a ground lease

A fuel company would build and run the station and pay the owners ground rent. At average volumes it keeps only about $172k a year after a $85k ground rent, on a $3.9M build: about $4 a year for every $100 it spends. So a deal is not assured, and the owners should not build or run the station themselves.

The fuel company's year	Worst	Average	Best
Gallons a month	86,400	99,100	112,000
Fuel profit per gallon, after card fees	31¢	34¢	36¢
Fuel profit	$326k	$404k	$489k
Store sales	$1.55M	$1.79M	$2.06M
Store profit on those sales (33% / 34% / 36%)	$511k	$615k	$735k
Store running costs: staff, utilities, upkeep	$716k	$762k	$806k
Profit before ground rent	**$120k**	**$257k**	**$418k**
Ground rent to the owners	$58k	$85k	$110k
Profit after ground rent	**$62k**	**$172k**	**$308k**

The fuel company's year	Worst	Average	Best
What the fuel company spends to build	$4.2M	$3.9M	$3.5M

To keep $10 a year for every $100 it spends, a fuel company would need about 150,000 gallons a month at average margins, about the national average. National 2024 averages were 150,157 gallons a month, a 43.5¢ margin per gallon (35.2¢ after card fees) and $248,201 of store sales a month (NACS State of the Industry). In 2025 margins averaged over 40¢ (NACS Magazine). Competition is heavy: thirteen stations sit within about 1.4 miles of the I-40 Sycamore View exit (iExit).

Ground rent is about $80k–$130k a year from a regional operator and $150k–$200k from a national brand; that range is a planning judgment. Murphy USA in Murfreesboro pays $200k a year. The lease must make the fuel company responsible for its tanks, spills and cleanup. Tennessee charges $125 a year per tank compartment; the state suspended those yearly fees for five years from 1 July 2021, so check their status now (TDEC). Gasoline tax is 27.4¢ a gallon (MTAS).

A typical 1,500 SF shop tenant

A 1,500 SF shop needs about $249k of sales a year to afford the average-case rent. That suits service shops, not fashion. A common rule of thumb keeps rent plus building costs near 10% of a shop's sales; restaurants nationally spend about 5–6% (National Restaurant Association).

For a 1,500 SF shop	Worst	Average	Best
Rent per SF a year	$12.65	$13.45	$14.30
Share of building tax, insurance and upkeep per SF	$2.97	$3.18	$3.66
Total paid to the building each year	$23.4k	$24.9k	$26.9k
Sales needed a year, at 10%	$234k	$249k	$269k

Shops that fit these numbers and the event traffic: bridal, formalwear and tailoring; salons, nails and henna; bakeries and cafés; halal grocery and butcher; florists and event rentals; pharmacy and medical; phone and tax services. In the efficient plan the shops are larger bays that rent for about $0.50–1.00 per SF less. Flex tenants pay about $7.00–$7.95 per SF; they are contractors, showrooms, light assembly and storage users who mostly need clear height, a roll-up door and parking.

What each business can afford to pay the building

The kids' playground can pay the rent the plans assume, and at today's Memphis hall prices an outside hall operator accepting about 10% a year on its fit-out could pay the $2.00 per SF the lease-everything plan assumes. The owners still keep far more by running the halls themselves.

Business	What it can afford, average case	What the plans assume
Outside hall operator	About $-0.55 per SF a year if it wants 15% a year on its own fit-out (about $3.3M after the landlord's help); about $2.87 per SF at 10% a year.	$2.00 per SF from an outside operator, in the lease-everything plan only. Best case about $6.10 per SF.
Kids' playground	Up to about $6 per SF a year while still keeping 15% a year on its $1.2M	$4.85 per SF
Fuel company	Little: before any rent it keeps about $7 a year per $100 it spends at about 99,100 gallons a month	$85k a year

Business	What it can afford, average case	What the plans assume
1,500 SF shop	$13.45 per SF if it sells about $249k a year	$13.45 per SF

In the owner-run plans no rent changes hands for the halls. The halls' profit after building costs, about $473k a year in the average case, goes straight to the owners.

Assumptions and sources

Volumes, prices and cost shares are planning numbers built from the sources below, opened on 18 October 2026. They are not operator quotes; replace them with a signed operator's own numbers before committing money. Loan payments and each operator's own income taxes are not included.

- **Hall bookings.** About 215 events a year across both rooms in the average case (220 most likely) is the settled number from year 3, for a mixed business: weddings plus quinceañeras, corporate, church, community and cultural events. The model starts at 35% of it in year 1 and 80% in year 2. Sources: MMCG venue market report, ProjectionHub, The Knot 2026 Real Weddings Study and CDC marriage rates.
- **Hall prices.** Rates come from The Palace at Cordova, The Columns, the Cadre Building, Memphis Botanic Garden, The Kent, Esplanade Memphis, The Peabody and Marriott Memphis East. Across these venues Friday and Sunday run about 80% of Saturday, and Monday–Thursday about 60%.
- **Hall costs.** Catering costs run 28–35% of catering sales for food and 25–35% for labor (Galley). Profit levels come from BizBuySell. Southeast restaurant and kitchen build-outs run $250–450 per SF at national prices (Terrapin); this study converts them to Memphis prices (city cost index 89.4, RSMeans Q4 2025), with the ownership group hiring each trade directly. The movable walls are an allowance of about $150k per room at national prices, to confirm with a supplier quote.
- **Who books.** Demand is weddings of every background plus quinceañeras, corporate, community and celebration events. The metro's Hispanic population by age comes from the Census. Venue sizes come from Memphis Magazine, and regional halls are listed at Zola, Jackson MS.
- **Kids' playground.** The investment range comes from Kids Empire's franchise disclosure (Franzy). Local prices come from Urban Air Cordova.
- **Fuel.** Industry averages come from the NACS State of the Industry and NACS Magazine. Build costs come from MMCG, and taxes from MTAS. Tank fees are on TDEC's fees and new tanks pages. Nearby stations are counted on iExit. Murphy USA, Murfreesboro is a ground-rent example.
- **Shops.** Occupancy costs for restaurants come from the National Restaurant Association. The 10% figure is a rule of thumb.
- **Building costs per business.** Each business's share of tax, insurance and upkeep comes from the Sycamore Square model. The halls and shops use the efficient plan's share, about $3.18 per SF a year in the average case. The playground is carried at $3.40 / $3.40 / $3.00 per SF, close to the lease-everything plan's share.